

SPEED POST



कर्मचारी भविष्य निधि संगठन
(श्रम एवं रोजगार मंत्रालय, भारत सरकार)
EMPLOYEES' PROVIDENT FUND ORGANISATION
(Ministry of Labour & Employment, Govt. of India)
मुख्य कार्यालय / Head Office
भविष्य निधि भवन, 14-भीकजी कामा प्लेस, नई दिल्ली-110 066
Bhavishya Nidhi Bhawan, 14, Bhikaji Cama Place, New Delhi - 110 066.

No: Coord/13(1)05/Allotment of Code No./

41903

Dated: 24.03.2011

24 MAR 2011

To,
All Addl. CPFCs (Zones)
All RPFCs (In charge of RO/SRO)

Sub: Allotment of Code No. to contractors of PSUs/PSEs – reg.

Sir,

Please find enclosed herewith a copy of D.O. No. DPE/13(5)/11-Fin dated 18.03.2011 of Secretary, Department of Public Enterprises, for not insisting P.F. Code No. from contractors willing to participate in bidding process of tenders floated by PSUs/PSEs for information and necessary action at your end. This D.O. was issued on the insistence of CPFC.

The above mentioned D.O. may be kept in view while processing and allotting the code numbers as per guidelines already circulated vide this office circular no. Coord/11(61)05/Adm.Ins./Cir./Vol-II/103878 dated 11.03.2011.

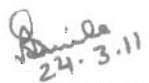
Please acknowledge receipt.

Encls: as above.


(K.C. Pandey)
Addl. Central P.F. Commissioner (Compliance)

Copy to:

1. FA & CAO/ CVO
2. All Addl. CPFCs, Head Office
3. Director, NATRSS
4. All RPFC-I / RPFC-II, Head Office
5. All DD (Vig.) of Zonal Vigilance Directorates
6. All Zonal Audit Parties
7. All RPFCs (ZTIs)
8. RPFC (NDC) – with request to upload the circular on official website of EPFO.
9. DD (OL), Head Office – for release of Hindi Version
10. PS to CPFC for information


(Anita S. Dixit)
Regional P.F. Commissioner-I (Coordination)

original sent to EC (C)

BHASKAR CHATTERJEE I.A.S.
SECRETARY



सत्यमेव जयते

भारत सरकार
 लोक उद्यम विभाग
 भारी उद्योग एवं लोक उद्यम मंत्रालय
 GOVERNMENT OF INDIA
 DEPARTMENT OF PUBLIC ENTERPRISES
 MINISTRY OF HEAVY INDUSTRIES & PUBLIC ENTERPRISES

D.O. No.DPE/13(5)/11-Fin
 March 18, 2011

Dear Chief Executive,

It has been brought to my notice by the Central Provident Fund Commissioner (CPFC) that PSUs/PSEs, while inviting tenders for various projects, are insisting upon the intending bidders to possess a provident fund code number before applying for such contracts.

2. This practice is not as per the provisions of the Employees' Provident Fund & Misc. Provisions Act, 1952 (EPF Act & Schemes framed thereunder. Under section 6 of the said Act and para 30(3) of the EPF Scheme 1952, it is the primary responsibility of the principal employers (in this case, CPSEs) to ensure that the contributions are paid in respect of contract employees also, in case the contractor fails to deposits the contributions of the contract employees engaged by them. The principal employers (CPSEs) are still responsible for ensuring such deductions and cannot escape from their liability, even, if the contractors have their own PF codes. This provision has also been upheld by the Hon'ble High Courts.

3. This insistence for code numbers leads to a lot of undesirable consequences. Many people apply to obtain a code number, mostly young jobless people, and when they do not succeed in getting the contract, they forget about it, and do not comply with the EPF Act Provisions of submitting regular returns to the EPF authorities. This often leads to their prosecution, whereas they may subsequently be working as employees in some organization and have no idea about their duties of compliance with the PF provisions, leading to their harassment and prosecution.

4. It may be ensured, henceforth, that PF code number is not made a pre-condition by the CPSEs for participation in bids by contractors. However in case, a contractor is so selected and who does not have PF code number, the CPSEs could ask such contractor to get a code number, giving him a letter of intent regarding the contract, so that he could apply and obtain a PF code number from the respective PF Commissioner. This would ease the problem to a great extent and also serve the purpose of the CPSEs.

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5. However, I would also like to point out that even if the contractor may be having a separate PF number, the overall responsibility for ensuring that contractors duly deduct the employer/employees contributions from their workers and deposit with the PF authority regularly rests with the principal employer. The principal employer is primarily responsible for such deductions even in case of contract employees, and if necessary, they may deduct such amounts from the contractor's bills and ensure its deposit either against the contractor's code number or their own code number.

6. This may be implemented with immediate effect.

With regards,

Yours sincerely,

sd/-

(Bhaskar Chatterjee)

CMDs of all Central Public Sector Enterprises

Copy to:

✓ Shri S. Chatterjee, Central Provident Fund Commissioner, Employees' Provident Fund Organization, Bhavishya Nidhi Bhawan, 14 Bhikaji Cama Place, New Delhi-110 066 with reference to his D.O. letter No.Coord/13(1)05/Allotment of Code No/65 dated 22nd February, 2011.

B. Chatterjee
(Bhaskar Chatterjee)